Surety Bond

SECRETARY

CNA Surety

CNA Surety provides a full range of surety and fidelity bonds in all 50 states, Canada and Puerto Rico. Through a combined network of approximately 40,000 appointed agencies, CNA Surety has the capacity, experience and dedication to serve a full range of bonding needs, from the smallest commercial bonds to multi-million dollar contract bonds.

Point of Contact

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River Springs Ranch Property Owners' Association (POA) is using CNA Surety for its fidelity/crime bonding. This is not for general liability insurance.

1. Here's what they provide to a POA:
    a. Fidelity Bond (Employee/Volunteer Dishonesty)
        i. This is the most common reason a POA has CNA Surety. It protects the association if someone handling the POA's money steals or misuses it, including:
            1. Board members
            2. Treasurer
            3. Officers
            4. Volunteers
            5. Management company employees (depending on the policy)
            6. Bookkeeper
        ii. For example:

1. Treasurer writes themselves a $20,000 check.
2. Management company employee diverts dues into a personal account.
3. Someone forges checks from the POA account.

iii. The bond reimburses the association for covered losses.

b. HOA/POA Loan Requirements
   i. Many banks require an association to carry a fidelity bond before they'll:
      1. Open certain accounts
      2. Extend loans
      3. Refinance association debt

c. Protection of Reserve Funds
   i. Many states and governing documents recommend—or require—that reserve accounts be bonded.
      1. If your POA has:
         a. $500,000 in reserves
         b. $150,000 operating account
      2. The bond amount is often written to cover all or most of those funds.

d. Protection Against Fraud
   i. Some CNA Surety policies can also include coverage for:
      1. Check forgery
      2. Computer fraud
      3. Wire transfer fraud
      4. Employee theft
      5. Credit card fraud
   ii. The exact coverages depend on the policy purchased.

2. What CNA Surety does not cover
   a. A fidelity bond generally does not pay for:
      i. Roof damage
      ii. Storm damage

      iii. Slip-and-fall injuries
      iv. Lawsuits against the association
      v. Directors making poor business decisions (that's typically covered by Directors & Officers insurance)
      vi. General liability claims
   b. Those are covered by separate insurance policies.
3. Why the POA has historically secured the services of a surety company
   a. If the association collects:
      i. Annual dues
      ii. Special assessments
      iii. Reserve funds
      iv. Investment accounts
   b. The board has a fiduciary duty to protect those assets. A fidelity bond is one of the primary ways to do that.
4. If you are on the board
   a. It's worth confirming:
      i. The bond limit (is it high enough to cover funds under your control?)
      ii. Who is covered (board members, volunteers, management company, etc.)
      iii. Whether computer and wire fraud are included
      iv. What other things are covered in the fidelity bond
      v. Is there an online account? Where do we create one?
      vi. What is the POA’s surety account number?
   b. Request new documents that provide all details, coverages and claim information, including a declaration page.
5. The SECRETARY is responsible to make the yearly payments following the procedures for Making Payments.